

INSTRUCTOR TRAINING MODULE

Blue Ocean vs Red Ocean Strategy

Strategic Business Transformation Frameworks & Practical Applications

Prepared for Accredian Content & Academic Team

1. Introduction: Understanding the Red Ocean

Core Dynamics of Red Oceans

- **Existing Market Space:** Compete in defined industry boundaries where market rules are universally understood.
- **Cutthroat Competition:** Rivalry is intense, turning the market into a "red ocean" bloody with fierce price wars and zero-sum games.
- **Exploiting Existing Demand:** Businesses battle for market share from a fixed, finite pool of existing customers.
- **Cost-Value Trade-Off:** Companies must choose between differentiation (high cost) or low cost.

Characteristics of Red Ocean Players

Market Perspective: Structuralist view (assumes market conditions are given and unchangeable).

Strategic Goal: Defeat rivals and incrementally gain market share.

Risk Factor: High threat of commoditization and shrinking profit margins over time.

Traditional Examples: Traditional Airlines, Automotive Manufacturers, Retail Supermarkets.

1. Introduction: Unveiling the Blue Ocean

Core Dynamics of Blue Oceans

- **Uncontested Market Space:** Creates new industry boundaries where competition is rendered completely irrelevant.
- **Value Innovation:** Simultaneously pursues differentiation AND low cost, creating a leap in value for buyers and the firm.
- **Creating New Demand:** Focuses on capturing non-customers rather than fighting over existing market segments.
- **Breaking Cost-Value Trade-Off:** Eliminates unnecessary industry factors while raising customer value elements.

Characteristics of Blue Ocean Creators

Market Perspective: Reconstructionist view (market boundaries can be reshaped through vision).

Strategic Goal: Unlock new demand and build uncontested strategic monopoly positions.

Risk Factor: Operational execution and market education for newly created categories.

Pioneering Examples: Uber (Ride-hailing), Netflix (Streaming), Cirque du Soleil.

2. Key Differences: Direct Strategic Comparison

Strategic Dimension	Red Ocean Strategy	Blue Ocean Strategy
Market Focus	Compete in existing market space	Create uncontested market space
Competition	Beat the competition	Make the competition irrelevant
Demand Focus	Exploit existing demand	Create and capture new demand
Cost-Value Tradeoff	Make the value-cost trade-off	Break the value-cost trade-off
Strategic Alignment	Align firm system with Choice of Differentiation OR Low Cost	Align firm system in pursuit of Differentiation AND Low Cost

3. Analytical Visual Aid: The Four Actions Framework

To construct a Blue Ocean strategy, businesses utilize the **Four Actions Framework** to break the cost-value trade-off and reconstruct buyer value elements.

⊘ ELIMINATE

Which factors that the industry has long competed on should be completely eliminated?

↓≡ REDUCE

Which factors should be reduced well below the industry standard?

↑≡ RAISE

Which factors should be raised well above the industry standard?

⊕ CREATE

Which factors should be created that the industry has never offered before?

4. Real-World Case Study: Cirque du Soleil

Reinventing the Circus Industry

Faced with declining audience numbers, rising animal care costs, and heavy competition from traditional circuses (e.g., Ringling Bros.), Cirque du Soleil shifted from Red to Blue Ocean.

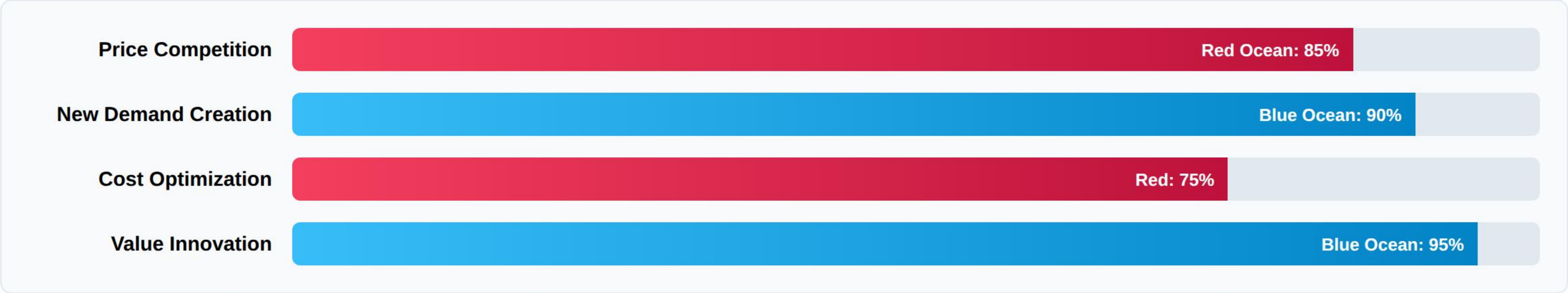
- **Eliminated:** Animal shows, star performers, and aisle concessions (reduced significant overhead).
- **Reduced:** Thrill, danger, and multiple simultaneous arena rings.
- **Raised:** Unique venue atmosphere and artistic production values.
- **Created:** Artistic narrative, original music, refined theatrical elegance for adult audience pricing.



Cirque du Soleil tapped an adult theater-going market willing to pay higher ticket prices.

5. Visual Diagram: Strategy Focus Comparison

Comparative allocation of strategic focus across core business functions (Red vs Blue Ocean):



Key Takeaway: Red Ocean strategies concentrate heavily on price and existing costs, while Blue Ocean strategies pivot focus toward value innovation and customer creation.

6. Conclusion: Strategic Significance & Sustainability

Strategic Significance

- **Market Evolution:** As existing industries grow crowded, blue ocean creation becomes essential for long-term profitable growth.
- **High Barriers to Imitation:** Value innovation creates strong brand equity and economic scale that imitators struggle to copy quickly.
- **Alignment:** Success relies on aligning value, profit, and people propositions harmoniously.

Long-term Sustainability

- **Dynamic Strategy:** Blue oceans eventually turn red over time as competitors enter; continuous innovation is mandatory.
- **Dual Management:** Organizations must manage red ocean operational efficiency today while seeking new blue ocean opportunities tomorrow.
- **Instructor Takeaway:** Encourage students to view strategy not just as benchmark competition, but as category creation.

7. Appendix: Key Research & Academic References

Recommended Academic & Industry Case Studies

- **Kim, W. C., & Mauborgne, R. (2004):** *"Blue Ocean Strategy"*, Harvard Business Review Press. Primary foundational text defining value innovation and strategic canvas frameworks.
- **Harvard Business Review Case Study:** *Cirque du Soleil - Reshaping the Live Entertainment Industry* (HBR Product #306042).
- **INSEAD Blue Ocean Strategy Institute:** Research publications and practical toolkits for strategy formulation (www.blueoceanstrategy.com).
- **Industry Case Example - Netflix vs. Blockbuster:** Analysis of business model disruption through digital shift and non-customer acquisition.
- **Instructor Note:** Supplementary lecture slides, discussion points, and workshop exercises can be integrated into Accredian's core curriculum modules.

Image Sources



https://www.cirquedusoleil.com/-/media/cds/images/about-us/creative-process/cds_about_creative_process_06_thumb_737x508.jpg?db=web&h=508&vs=1&w=737&hash=DC87EDCACBB6C93BDE8DB6CCD71A7094

Source: www.cirquedusoleil.com